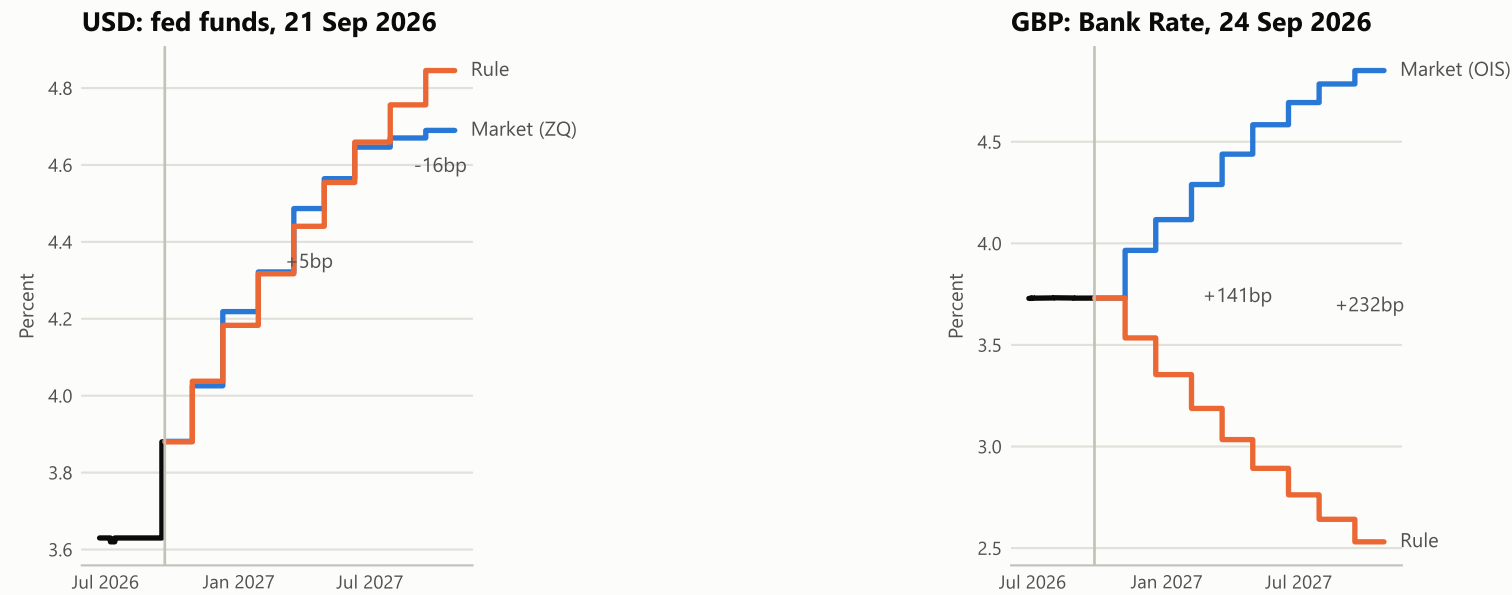


Policy paths: what markets price against the central banks' own rules

Weekly brief, 27 September 2026 · USD as of 21 Sep · GBP as of 24 Sep · generated 2026-09-27

For each currency, the market-implied path of the policy rate over the next eight meetings, against the path a balanced-approach rule would take on the macro data public that day, held flat. The gap is market minus rule; its z is against the gap's own trailing two years.



Black: the overnight rate realized. Blue: the market path. Orange: the rule's path. Labels: the gap at the fourth and eighth meetings.

The gaps, by meetings ahead

	as of	gap 1	gap 4	gap 8	z 1	z 4	z 8
USD	21 Sep	-1bp	+5bp	-16bp	+1.0	+2.2	+2.1
GBP	24 Sep	+43bp	+141bp	+232bp	+2.3	+1.9	+1.9
GBP – USD	21 Sep	+42bp	+135bp	+238bp	+1.3	+1.1	+1.3

The GBP – USD row is the first cross-country signal: GBP's gap minus USD's on the last session both have. At the fourth meeting it is +135bp, a z of +1.1 against its own two years. Most of its level is the two r^* choices; the z is what moves.

What changed since last week

USD (18 Sep to 21 Sep): the gap at the fourth meeting moved +0bp to +5bp (z +2.1 to +2.2): the market +0bp, the rule +0bp.

GBP (18 Sep to 24 Sep): the gap at the fourth meeting moved -5bp to +141bp (z +2.1 to +1.9): the market -5bp, the rule +0bp.

What would make this wrong

The widest reading is USD at the fourth meeting (z +2.2, +5bp: the market prices more tightening than the rule). It is wrong if the market is right that Core PCE (3.4%) and unemployment will not stay where they are: the rule holds them flat, so a market pricing their change looks mispriced to it when it is not.

Limitations (from the data-quality and lag tags in config)

USD: scheduled FOMC dates are treated as known on every date (fomc.csv records no publication date) · USD: core PCE's latest one or two months are bridged from core CPI until PCE prints (real-time RMSE 0.075pp m/m) · USD: CBO's natural rate has vintages only from 2011-02-02, so the model path starts 2011-03-04 · USD/GBP: hold-flat conditioning: inflation, the unemployment gap and r^* stay at today's values at every meeting · USD/GBP: the rule is imposed from the Fed's Monetary Policy Report, not estimated · USD: r^* is the SEP median as FRED rounds it (to within 5bp); Taylor's 2% before the first dot, 2012-01-25 · USD/GBP: the crude backtest has no transaction costs yet (week 8) · GBP: the Bank's OIS curve has monthly maturities, so a meeting's step is placed by interpolating between them; against the Bank's own MPR conditioning paths the path is within 1.0bp on average · GBP: scheduled MPC dates are treated as known on every date; the September 2022 meeting is listed on the 22nd, where it was moved to · GBP: CPI release days before February 2016 are dated the 26th of the month (up to ~10 days late, never early) · GBP: LFS release days before April 2016 are dated the 26th of the month (up to ~10 days late, never early) · GBP: LFS unemployment is noisy after the 2023 response-rate collapse: suspended Oct 2023-Jan 2024 (the last official vintage is held), "official statistics in development" Feb 2024-Aug 2026, volatile in mid-2023 and 2024, and a collection error in May-June 2026 degraded releases from July · GBP: claimant count is still 'official statistics in development' · GBP: PAYE RTI vintages exist only from December 2019; not used before then · GBP: u^* is a constant 4.5%, not a real-time estimate · GBP: r^* is a constant (-1.6%, the 2009-26 average real Bank Rate): a hindsight number that moves the bp gap, not the z